ARTHNEETI · ECONOMIC RESEARCH GUIDEBOOK

Think Like an *Economist.*

A student guide to understanding how Nepal's economy actually works — from remittances to NEPSE, from inflation to global trade. Not th[illegible] Real economics.

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CORE MODULES

Rs.1,445B
REMITTANCES FY 2023/24

4.6%
NEPAL GDP GROWTH FY 2024/25

20%+
YOUTH UNEMPLOYMENT RATE

BEFORE YOU BEGIN

How to Use This Guidebook

This is not a textbook. Every module follows the same format: a big idea, real Nepal data, a global parallel, and a question you have to answer yourself.

CHAPTER 01 · MACROECONOMIC FOUNDATIONS

The Big Picture: How Economies Actually Work

Before analyzing Nepal or the world, you need the lens economists use to read an entire national economy in 30 minutes.

M-01

GDP: The Most Argued Number in Economics

MACRO

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THE BIG IDEA

GDP tells you the size of an economy — but not how most people experience it. A country can grow at 5% while the average citizen gets poorer. Why? And what does that mean for Nepal?

GDP vs GNP | Nominal vs Real GDP | GDP per capita | Purchasing Power Parity (PPP) | GDP components

NEPAL RIGHT NOW — FY 2024/25

Nepal's nominal GDP reached **Rs. 6,107 billion (~$43 billion)**. GDP growth came in at **4.6%** — up from 3.7% the year before. But GDP per capita sits at just **$1,658**. Compare that to India ($2,730), Bangladesh ($2,800), and South Korea ($35,000). Nepal's economy is growing — but slowly, and from a very low base.

📐 Core Concepts

- → GDP = C + I + G + (X–M): Consumption, Investment, Government spending, Net Exports
- → Nominal GDP uses current prices; Real GDP adjusts for inflation — always use real when comparing growth over time
- → PPP-adjusted GDP tells you what money actually buys locally — Nepal's PPP GDP is $194B, much higher than nominal
- → GDP doesn't measure inequality, happiness, or sustainability — it's a speedometer, not a health monitor
- → The "Output Gap" — difference between what an economy produces and what it could produce at full capacity

🌍 Global Lesson: The South Korea Miracle

- → In 1960, South Korea's GDP per capita was $158 — similar to Nepal's today
- → By 2024, it reached $35,000. The key: exports, education, and state-directed investment
- → Nepal's government target is 6-7% growth — it has never sustained this for more than 2-3 years
- → Why? Political instability, low investment, and an economy too dependent on one source (remittances)
- → The lesson: GDP growth is mechanical — if you know the inputs, you can predict the outputs

CASE STUDY

The Remittance Paradox: How Nepal Can Have GDP Growth and Stagnation at Once

Nepal's consumption — one of the four GDP components — is massively funded by remittances from workers abroad. **Remittances hit NPR 1,445 billion in FY2023/24**, growing 19.2% last year. This boosts household spending, which boosts GDP. But here's the trap: this growth is imported. The workers earning it are not in Nepal. The businesses selling imported goods benefit. The productive capacity of the domestic economy barely changes. GDP grows, but factories aren't built, local entrepreneurs aren't funded, and the number of skilled workers in Nepal shrinks. This is called **consumption-driven growth without productive transformation** — economists consider it fragile, because if remittance flows slow (Gulf recession, policy change), the economy could contract sharply.

⚡ THINK & DISCUSS

Questions You Should Be Able to Answer

- ? Nepal's GDP is growing, but 55% of Grade 12 graduates now study abroad. Is the economy actually improving?
- ? If remittances were excluded from consumption, how would Nepal's GDP growth number change — and what does that tell us?
- ? Should Nepal measure GDP differently? What would a better measure include?

📋 RESEARCH TASK

Find Nepal's GDP Components

1. Go to the Nepal Rastra Bank website (nrb.org.np) and find the current year's macroeconomic report
2. Identify what % of GDP comes from: consumption, investment, government spending, and net exports
3. Compare this breakdown to India and Bangladesh using World Bank data
4. Present your finding as one chart and one sentence: "Nepal's economy is structurally different because ___"

M-02

Inflation: When Money Quietly Steals From You

MACRO +

THE BIG IDEA

Inflation is not just "prices going up." It's a redistribution of wealth — from savers to debtors, from fixed-income workers to asset owners. Understanding who wins and who loses from inflation is one of the most practical skills in economics.

CPI | WPI | Core vs Headline Inflation | Cost-push vs Demand-pull | Hyperinflation | Real vs Nominal Returns

NEPAL'S INFLATION PICTURE — 2024/25

Nepal's consumer price inflation fell to approximately **4.7%** in 2024 — the lowest in recent years. The Kathmandu Valley saw y-o-y CPI of **2.73%**, while mountain regions hit **4.18%**. Wholesale price inflation on consumption goods stood at **5.66%**. This matters: a Nepali putting money in a savings account earning 5% interest is barely beating inflation — and in mountain regions, real returns are negative.

📐 Core Concepts

→ CPI measures the price of a fixed "basket" of goods a typical household buys — in Nepal, food dominates this basket (~55%)

→ Core inflation strips out food and energy (volatile) to show the underlying trend

→ Cost-push inflation: input costs rise (oil, imports) and businesses pass it to consumers

→ Demand-pull inflation: too much money chasing too few goods (remittance boom can cause this)

→ Real return = Nominal return - Inflation. If your FD earns 7% and inflation is 6%, you earned 1% in real terms

🔗 Nepal's Imported Inflation Problem

→ Nepal imports ~85% of its fuel and a large share of food items — this means global oil price changes hit Nepali consumers directly

→ Nepal pegs its currency to the Indian Rupee — so India's monetary policy directly flows into Nepal's inflation

→ When NRB raises interest rates, it's partly trying to reduce demand in the economy to cool inflation

→ Mountain and rural regions see higher inflation partly due to transportation costs — this is called "spatial inflation inequality"

⚠️ THE REAL-WORLD IMPACT STUDENTS OFTEN MISS

A family in Humla receiving remittances in NPR, spending mostly on imported goods with 4–5% inflation, while keeping savings in a low-interest account — is **losing real purchasing power every year**. Remittances help, but if they aren't invested into assets that grow faster than inflation, families may be treading water economically even as the money flows in.

GLOBAL CASE STUDY

Zimbabwe & Turkey: Two Very Different Inflation Disasters, Same Core Error

Zimbabwe printed money to pay government bills in the 2000s → hyperinflation peaked at **89.7 sextillion percent** in 2008. Turkey in 2021–2022 saw inflation hit **85%** because President Erdoğan refused to raise interest rates (against all economic consensus), believing high rates caused inflation. Both cases show what happens when monetary policy loses independence from political pressure. Nepal's NRB maintains formal independence — but student researchers should ask: does political pressure ever influence Nepal's monetary decisions?

⚡ THINK & DISCUSS

Questions You Should Be Able to Answer

- **?** If your family saves NPR 100,000 in a bank this year and Nepal's inflation is 5%, what is the real value of that money in 10 years?
- **?** Nepal pegs to the Indian Rupee. If India's RBI raises interest rates aggressively, what happens to Nepal's inflation? What can NRB actually do about it?
- **?** Who benefits from moderate inflation in Nepal: borrowers or savers? Why?

📋 RESEARCH TASK

Track Nepal's Inflation vs. India's

1. Find Nepal's annual CPI data from NRB for the last 5 years
2. Find India's CPI data for the same period from RBI
3. Plot both on the same graph — what pattern do you notice?
4. Find one specific item in Nepal's CPI basket whose price you can verify locally (cooking oil, rice, bus fare)
5. Ask: does the CPI actually match what your family experiences? If not, why might it differ?

CHAPTER 02 · NEPAL'S ECONOMIC STRUCTURE

Nepal's Economy: Four Truths Nobody Debates Enough

Remittances. Trade deficit. Hydropower. Brain drain. These four forces define Nepal's economic trajectory. Most students know the words. Very few understand the mechanics.

M-03

Remittances: Nepal's Biggest Industry Is Not in Nepal

NEPAL +

THE BIG IDEA

Remittances exceed Nepal's total government revenue. The single largest driver of Nepal's economy is Nepali workers in Qatar, Malaysia, and the UAE. This is not a development strategy — it is a dependency. The question isn't whether remittances help Nepal. They do. The question is: what happens next?

Balance of Payments | Current Account | Dutch Disease | Human Capital Flight | Structural Transformation

THE NUMBERS THAT SHOULD SHOCK YOU

Remittances hit **NPR 1,445 billion in FY2023/24** — growing 19.2% in NPR terms. That's roughly **25–27% of Nepal's GDP**. The government's total revenue collection in 2024/25 was **Rs. 1,016 billion** — less than what migrant workers sent home. Nepal's foreign exchange reserves at **$19.5 billion** can cover 15.4 months of imports — almost entirely because of remittances. Without them, Nepal's balance of payments would be in deep deficit.

📐 How the Mechanism Works

- → Workers go abroad (Malaysia, Qatar, UAE, South Korea) → earn in foreign currency → send money to families in Nepal
- → Families receive NPR → spend on food, education, housing, consumer goods → most of these goods are imported
- → This creates a cycle: remittances fund consumption, consumption drives imports, imports create a trade deficit
- → Nepal's trade deficit grew to Rs. 1,397 billion in FY2024/25 — the money flows in, then flows right back out through imports
- → Balance of Payments stays in surplus only because inflow (remittances) exceeds outflow (trade deficit)

⚠️ The Dutch Disease Risk

- → "Dutch Disease" = large inflows of foreign currency make your exchange rate appreciate, which makes exports more expensive and kills domestic industries
- → Original case: Netherlands found North Sea oil in 1960s → manufacturing sector collapsed because the guilder became too expensive
- → Nepal parallel: high remittance inflows keep NPR relatively stable, making Nepali exports uncompetitive
- → Nepal's exports are only 15% of imports — one of the worst export-import ratios in South Asia
- → Young entrepreneurs leave instead of building businesses — the economy loses its most productive citizens

📊 THE BRAIN DRAIN DATA POINT

In 2023, **youth unemployment reached 22.7%** — among South Asia's highest. Today, **55% of Grade 12 graduates leave to study abroad**. Over 1 million Nepali youth leave the country every year. This is not just economic — it's a demographic restructuring. The people most capable of building new industries are leaving because the economy doesn't create opportunities for them at home. Nepal loses the very human capital it needs to break the remittance dependency.

COMPARISON CASE

Bangladesh's Garment Industry: Breaking Remittance Dependency Through Manufacturing

Bangladesh was in a similar position to Nepal in the 1980s — low GDP, high remittances, low exports. The difference: Bangladesh deliberately built the **Ready-Made Garment (RMG) industry**, which now employs 4 million workers (mostly women) and accounts for 83% of export earnings. Bangladesh's GDP per capita overtook India's in 2020. **The mechanism: export earnings → foreign currency → investment → more jobs → higher wages → domestic demand.** Nepal has the potential for similar moves in hydropower exports, IT services, and handicrafts — but investment, policy consistency, and infrastructure must come first.

⚡ THINK & DISCUSS

Questions You Should Be Able to Answer

- ? If Gulf countries (Qatar, UAE, Saudi Arabia) shift to solar energy and need fewer construction workers, what happens to Nepal's economy in 5 years?
- ? Nepal's government wants to "channel remittances into productive investment." Name three specific policies that could achieve this.
- ? Is brain drain always bad? Make the strongest possible argument that it benefits Nepal — then refute it.

📋 RESEARCH TASK

Map Nepal's Remittance Economy

1. Find NRB's data on top 5 countries sending remittances to Nepal — how has the ranking changed over 10 years?
2. Research: what industries employ most Nepali migrants abroad? What skills do they use?
3. Find one Nepali district where remittances make up more than 50% of household income — what is the local economy like?
4. Design a 2-slide argument: "Nepal should/should not make it easier for young people to work abroad." Use data, not opinions.

M-04

Hydropower: Nepal's Untapped €77 Billion Bet

NEPAL

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THE BIG IDEA

Nepal sits on 83,000 MW of theoretical hydropower potential. It has developed less than 3% of it. If Nepal exported power to India and Bangladesh instead of importing fuel, the trade deficit math changes completely. Hydropower is Nepal's most plausible path to economic transformation — but it requires understanding infrastructure economics, not just geography.

Infrastructure Economics | Export-led Growth | FDI | Long-run Supply Curve | Strategic Sectors

HYDROPOWER BY THE NUMBERS

Nepal's 16th Five-Year Plan targets **28,500 MW of capacity by 2035**. Current installed capacity is around 3,000 MW — about **3.6% of theoretical potential**. Implementation cost: **NPR 11.1 trillion ($77.83 billion)**. The World Bank projects hydropower will be a significant export earner, but cautions: building generation capacity without transmission infrastructure creates "stranded assets" — power plants producing electricity no one can use.

📐 The Economic Logic of Hydropower Export

- → Nepal currently imports fuel worth billions annually — hydropower substitution reduces this import bill
- → Selling power to India/Bangladesh earns hard foreign currency — directly replacing remittance dependency
- → Hydropower is a capital-intensive, job-light industry — it creates wealth but not mass employment
- → Long gestation period: a hydropower project takes 8–12 years from planning to power — economic returns are slow
- → FDI in hydropower brings technology transfer and management expertise, not just capital

🚧 Why It's Harder Than It Looks

- → Chronic implementation failure: Nepal consistently underspends its capital budget — money is allocated but projects stall
- → Seasonal supply gaps: most rivers are glacier-fed — power output drops sharply in winter when demand peaks
- → Transmission bottleneck: Nepal can build power plants faster than it builds transmission lines to export or distribute power
- → FDI remains subdued — political instability and regulatory uncertainty deter long-term investors
- → Private sector investment fell 9.6% in 2022–23 and recovered only partially — confidence is fragile

GLOBAL PARALLEL

Bhutan's Hydropower Model: What Nepal Could Learn from Its Neighbor

Bhutan has a GDP per capita of ~$3,700 compared to Nepal's $1,658 — despite being smaller and more landlocked. The main reason: **Bhutan has systematically monetized its hydropower** through a state-controlled power trading model with India. Hydroelectricity accounts for around 25% of Bhutan's GDP and is the single largest export. The government uses power revenues to fund education and healthcare, keeping public debt manageable. Nepal has far more potential — but has struggled to replicate this model due to political fragmentation, slower private-sector engagement, and weaker India–Nepal power trade agreements. The question is structural, not natural.

⚡ THINK & DISCUSS

Questions You Should Be Able to Answer

- ? Nepal's government consistently fails to spend its capital budget — money for hydropower projects goes unused. What economic and political incentives cause this?
- ? Should Nepal sell power to India at market rates or negotiated rates? Who benefits from each approach?
- ? A hydropower project creates 500 jobs during construction and 20 permanent jobs after. Is it worth the NPR 10 billion investment? How do economists evaluate this?

📋 RESEARCH TASK

Analyze One Hydropower Project

1. Pick any operating Nepal hydropower project (Upper Tamakoshi, Chilime, Marsyangdi) and find its investment cost, installed capacity, and ownership structure
2. Find its stock listing on NEPSE — how has the share price performed versus the NEPSE index?
3. Calculate: at current electricity prices, how many years to recover the investment?
4. Find one obstacle that delayed its construction — was it financial, regulatory, or political?

CHAPTER 03 · GLOBAL ECONOMIC FORCES

The World Economy
& Why Nepal Can't Ignore It

Trade, monetary policy, and geopolitics don't stop at Nepal's borders. Understanding global economic forces is how you understand why Nepal is in the position it's in.

M-05

Trade, Comparative Advantage & Nepal's Export Problem

GLOBAL +

THE BIG IDEA

Ricardo's law of comparative advantage is 200 years old and still the best explanation for why countries trade. But it assumes free trade, stable institutions, and infrastructure — none of which Nepal fully has. The real question: what does Nepal actually have a comparative advantage in, and why isn't it being exported?

Comparative Advantage | Trade Deficit | Current Account | Export Competitiveness | Non-Tariff Barriers | WTO & SAFTA

🇳🇵 NEPAL'S TRADE REALITY — 2024/25

Total trade deficit: **Rs. 1,397 billion** (growing 6.3%). Export-import ratio: **15.1%** — meaning Nepal exports Rs. 15 for every Rs. 100 it imports. Exports jumped **81.8%** last year, but from a very low base. **India accounts for ~65% of Nepal's trade**. Top exports: carpets, pashmina, cardamom, herbs. Key imports: petroleum, vehicles, machinery, medicine. The diagnosis: Nepal imports finished goods and exports raw commodities — the classic "commodity trap" of underdeveloped economies.

📐 Ricardo's Law, Simply Explained

→ A country has comparative advantage in what it produces at lowest opportunity cost — not necessarily what it's best at in absolute terms

→ Example: Nepal may be less efficient than India at everything — but if Nepal's relative disadvantage is smallest in handicrafts, Nepal should specialize there and import the rest

→ The modern version: comparative advantage shifts over time through investment in education, infrastructure, and technology

→ South Korea had comparative advantage in cheap labor (1960s) → electronics (1980s) → semiconductors (2000s) — it upgraded its advantage deliberately

→ Nepal's challenge: identify where its comparative advantage lies today AND where it could lie in 20 years

🚧 Why Nepal Struggles to Export

→ Landlocked geography: Nepal must route exports through India or China — adding cost, time, and dependency

→ Small market size limits scale — Nepali factories can't achieve the production volumes that lower per-unit costs

→ Non-tariff barriers: India's phytosanitary standards block many Nepali agricultural exports (technically legal barriers that aren't tariffs)

→ Energy costs: irregular electricity and fuel dependency raises production costs for manufacturers

→ Quality standards gap: many Nepali products don't meet international certification requirements for EU/US markets

NEPAL CASE STUDY

Carpets & Pashmina: Nepal's Most Successful Exports and Why They're Still Small

Nepali carpets and pashmina shawls have global brand recognition — luxury products sold in Europe and the US for premium prices. Yet these industries remain artisan-scale, not industrial. Why? **Land use restrictions, labour laws, limited financing for small producers, and inconsistent quality grading** prevent these industries from scaling. Compare to the Indian diamond industry: Surat processes 90% of the world's diamonds, not because India found diamonds, but because it systematically built a cluster of skills, financing, infrastructure, and global trade connections. Nepal hasn't built that cluster for its comparative advantage industries. This is an economic policy failure, not a resource failure.

⚡ THINK & DISCUSS

Questions You Should Be Able to Answer

- ? Nepal's export-import ratio is 15:100. India's is roughly 80:100. What does this structural difference mean for Nepal's economic sovereignty?
- ? Should Nepal try to industrialize (like South Korea) or focus on services (like India's IT sector)? What evidence would inform this choice?
- ? If Nepal could export only 3 things to the world profitably at scale, what would they be? Make an evidence-based case.

📋 RESEARCH TASK

Find Nepal's Export Winners and Losers

1. Go to the Trade and Export Promotion Centre (TEPC) Nepal and find the top 10 export products by value
2. For each, determine: is this a raw material or finished product? Who is the primary buyer?
3. Identify one export that grew more than 50% in the last year — what caused the growth?
4. Find one export product Nepal had in 2000 that has since declined significantly. What happened to it?

M-06

Monetary Policy, Interest Rates & How NRB Controls Your Economy

MACRO +

THE BIG IDEA

When NRB changes its policy rate, the cost of every loan in Nepal changes. That affects whether a startup gets funded, whether you can afford a mortgage, whether the stock market goes up or down. Monetary policy is the most powerful lever in any modern economy — and most people have no idea it exists.

Policy Rate | Open Market Operations | Reserve Requirement | Transmission Mechanism | Credit to Deposit Ratio | NPL (Non-Performing Loans)

NRB'S CURRENT MONETARY STANCE — 2025

NRB's base rate dropped to **5.72%**, with average lending rates at **7.66%** — a low-interest environment by Nepal's historical standards. Broad money (M2) grew **12%** year-on-year. Credit-to-Deposit ratio eased below 85%. After a severe liquidity crunch in 2022–2023, the banking sector has stabilized. Non-performing loans (NPLs) hover around **3.2%** — elevated but manageable. Private sector credit grew only **8.7%** — indicating weak business investment despite cheap borrowing.

📐 How Monetary Policy Works

- → NRB sets the policy rate → commercial banks borrow from NRB at this rate → they lend to businesses at a markup
- → Lower rates: credit becomes cheaper → businesses borrow more → investment rises → GDP grows (but inflation risk rises)
- → Higher rates: credit gets expensive → investment slows → inflation cools (but growth slows too)
- → Open Market Operations: NRB buys/sells government securities to inject or drain liquidity from the system
- → Reserve Requirement: % of deposits banks must hold at NRB — raising this reduces how much banks can lend

🔗 The Nepal-India Monetary Connection

- → Nepal pegs NPR to INR at NPR 1.6 = INR 1 — this limits NRB's monetary independence
- → If NRB cut rates far below India's RBI, capital would flow from Nepal to India seeking higher returns (capital flight)
- → NRB essentially shadows RBI's policy, with limited room to diverge significantly
- → This is the "Impossible Trinity" (Mundell's Trilemma): you can have free capital flows, fixed exchange rate, OR independent monetary policy — but not all three simultaneously
- → Nepal chose fixed exchange rate + some monetary independence = restricted capital flows

GLOBAL CASE STUDY

The 2022 Global Rate Hiking Cycle: How the US Fed Affected Nepal

When the US Federal Reserve raised interest rates from 0.25% to 5.25% (2022–2023) to fight post-pandemic inflation, the effects rippled globally. Dollar strengthened → NPR weakened relative to USD → Nepal's import costs rose (imports priced in USD became more expensive) → Nepal's inflation imported from global price rises. Meanwhile, remittances in USD, when converted to NPR, were worth more — a hidden benefit for receiving families. This is the global transmission of monetary policy: **what the Fed does in Washington affects a family in Sindhupalchok**. Every student in Nepal should understand this chain.

⚡ THINK & DISCUSS

Questions You Should Be Able to Answer

- **?** NRB has cut interest rates — loans are cheap. But private sector credit is still growing slowly. Why might businesses not borrow even when rates are low?
- **?** Nepal's CD ratio was near 90% in 2023 (banks nearly maxed out lending). What does this mean for a Nepali entrepreneur trying to get a business loan?
- **?** Should Nepal float its currency (let it move freely)? What are the risks and benefits for ordinary Nepalis?

📋 RESEARCH TASK

Track NRB's Monetary Policy Decisions

1. Find NRB's Monetary Policy report for 2024/25 — what was the stated objective and the main tools used?
2. Find the base rate and average lending rate for the last 3 years — chart the trend
3. Find one specific sector (agriculture, manufacturing, tourism) that NRB has given concessional credit policy to — why?
4. Compare NRB's policy rate to India's RBI repo rate. How closely do they track each other? What does this tell you?

CHAPTER 04 · ECONOMIC RESEARCH METHODS

How to Actually Research an Economy

The difference between economic analysis and economic opinion is evidence and method. Here is the framework economists use — and the sources every Nepal researcher must know.

RESEARCH FRAMEWORK

The Economist's Toolkit

Economic research follows a clear structure: question → hypothesis → data → analysis → conclusion. Every step matters.

📊 Primary Sources You Must Know

- → **NRB (Nepal Rastra Bank):** nrb.org.np — Monthly macroeconomic reports, monetary policy, banking statistics
- → **CBS Nepal:** National census data, household surveys, national accounts
- → **NEPSE:** nepsetrading.com / nepse.com.np — live market data, company reports
- → **Ministry of Finance:** mof.gov.np — annual budget, fiscal data, economic survey
- → **World Bank Nepal:** Live country reports, development updates (Nov 2025 report is essential reading)
- → **TEPC:** Trade and Export Promotion Centre — export/import data by product
- → **IMF World Economic Outlook:** Global comparative data

🔍 Research Question Framework

- → **Descriptive:** "What is Nepal's youth unemployment rate and how has it changed?" — requires data collection
- → **Causal:** "Does remittance income increase or decrease local entrepreneurship?" — requires comparison and evidence
- → **Predictive:** "If Gulf construction slows by 30%, what happens to Nepal's GDP?" — requires modeling
- → **Normative:** "Should Nepal prioritize hydropower exports over manufacturing?" — requires values + evidence
- → Always separate descriptive from normative — "what is" vs "what should be" — economists often confuse the two
- → Correlation ≠ Causation: the most common mistake in economic arguments

📝 THE ONE-PAGE RESEARCH TEMPLATE

1. Question: One specific, testable question about Nepal's economy
2. Hypothesis: Your predicted answer and why
3. Data sources: At least 2 primary sources (NRB, World Bank, CBS)
4. Key finding: The one number or trend that most directly answers your question
5. Competing explanations: What other factor could explain what you found?
6. Conclusion: Was your hypothesis right? What does this mean for policy or decision-making?

Essential Vocabulary for Economic Research

Ceteris Paribus

"All else equal" — isolating one variable while holding others constant. Essential for causal claims.

Elasticity

How much quantity demanded/supplied changes in response to a price change. High elasticity = sensitive to price.

Opportunity Cost

The value of the next-best alternative foregone. Every choice has one, even government spending.

Marginal Analysis

Decisions at the margin: should I do one more unit? Beneficial if marginal benefit > marginal cost.

Market Failure

When free markets produce an inefficient outcome — public goods, externalities, information asymmetry.

Fiscal Multiplier

The effect on GDP of a NPR 1 increase in government spending. Can be greater or less than 1.

Structural vs Cyclical

Structural problems are deep, long-term; cyclical are temporary economic fluctuations. Nepal's unemployment is largely structural.

Capital Flight

When money (capital) moves out of a country due to poor conditions. Nepal experiences both financial and human capital flight.

CHAPTER 05 · THE BIG ECONOMIC DEBATES

Questions Without Easy Answers

Economists disagree. On almost everything important. These are the live debates about Nepal and the world economy — your job is to form an evidence-based position, not repeat a textbook answer.

STRUCTURED DEBATES

Five Questions Nepal's Economic Future Depends On

Each debate has a Nepal angle and a global dimension. For each, your research task is to find the strongest argument on both sides and decide — provisionally — which side the evidence currently supports.

⚡ THE MOST IMPORTANT DEBATE OF ALL

Is Nepal's economy structurally changing — or just growing in size?

- ? GDP growth of 4.6% sounds positive. But is Nepal becoming a different kind of economy, or just a bigger version of the same?
- ? Structural transformation = moving workers from low-productivity (subsistence farming) to high-productivity (manufacturing, services). Has Nepal done this?
- ? Bangladesh did it. Vietnam did it. What did they do that Nepal hasn't?
- ? Your research project: track Nepal's employment share in agriculture vs industry vs services over the last 20 years. Is the structure changing?

अर्थनीति

Financial Intelligence for Nepal's Youth

This guidebook is a starting point. The real curriculum is Nepal's economy itself — read it in the newspapers, in the NRB reports, and in the choices being made around you every day.

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Data sources: Nepal Rastra Bank · World Bank Nepal Development Update (2025) · NRB Macroeconomic Reports · South Asian Voices · IMF · FRED

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